

BANKING EDUCATION TRAINING AND RESEARCH ACADEMY
CHHATRAPATI SAMBHAJINAGAR

FIVE DECADES OF REGIONAL RURAL BANKS

A Critical Assessment of Their Journey Role and Future

Commemorating the 51st Anniversary of the RRB Structure



**DEFEND THE PUBLIC SECTOR CHARACTER OF REGIONAL
RURAL BANKS**

**THE ULTIMATE SOLUTION LIES IN THE MERGER OF RRBs WITH
SPONSOR BANKS TO STRENGTHEN THE RURAL CREDIT
STRUCTURE**

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Five Decades of Regional Rural Banks

Their Journey Role in Rural Credit and the Challenge of Preserving a Public Development Mandate

A critical policy paper marking fifty years of the RRB experiment | September 2026

Regional Rural Banks were not created as smaller versions of commercial banks. They were constituted as public institutions with a defined social geography and a class purpose: to make institutional credit available to small and marginal farmers, agricultural labourers, artisans, small entrepreneurs and other weaker rural sections. Fifty years later, RRBs have survived, expanded access and improved their financial indicators. Yet the decisive question is not whether they have become profitable. It is whether their improved balance sheets continue to serve the transformation of the rural economy, or whether they are being drawn into the logic of commercialisation, centralisation and financial markets.

This paper argues that the rural banking mission remains indispensable, especially when commercial banking is retreating from labour-intensive direct rural lending. The next structural step should be integration of RRBs with their sponsor banks, provided the merger takes place within public ownership and through enforceable rural-credit obligations. Such integration can combine the local knowledge and rural presence of RRBs with the larger deposit base, capital and technology of mainstream banking. It can enable savings mobilised in urban and metropolitan centres to be consciously redeployed for agriculture, rural industry, infrastructure and employment. The reform must renew public purpose, not become a route to privatisation, branch closure or dilution of priority-sector obligations.

Executive Summary

The first five decades of RRBs present a mixed but historically important record. They helped bring organised banking into areas neglected by commercial banks and weakened the monopoly of moneylenders. They became important channels for farm credit, self-help groups, rural savings, government payments and financial inclusion. Their social return cannot be measured only through profit, cost-to-income ratios or non-performing assets.

The contemporary indicators are stronger. Following recapitalisation and restructuring, the system recorded a consolidated net profit of ₹7,571 crore in 2023–24 and ₹6,820 crore in 2024–25. Gross NPAs fell to 5.4 per cent and CRAR rose to 14.4 per cent by March 2025. RRB priority-sector advances were 88.44 per cent of adjusted net bank credit in 2024–25, well above the prescribed 75 per cent. These achievements rebut the claim that public purpose and financial viability are inherently incompatible. They do not, however, prove that the composition, terms and local developmental impact of credit are adequate.

The fourth phase of amalgamation, effective 1 May 2025, reduced 43 RRBs to 28. More than 22,000 branches cover about 700 districts and around 92 per cent of the branches are rural or semi-urban. Scale can strengthen technology, capital and risk management. It can also displace decision-making from the district, weaken local accountability, encourage standardised credit scoring, close small service points and convert a regional institution into a state-wide commercial bank in all but name.

The 2015 amendment enabling capital from sources beyond the Union Government, State Government and sponsor bank marked a structural shift. Even with a statutory public-control floor, stock-market discipline would introduce private shareholders whose legal and economic expectation is return on equity. It would generate continuing pressure for higher margins, fee income, branch rationalisation and safer urban assets. The issue is therefore not only who holds 51 per cent; it is whose priorities govern the remaining institution.

At the wider banking-system level, indirect finance through NBFCs and MFIs, priority-sector certificates and other compliance mechanisms can separate a bank's regulatory achievement from its relationship with the final borrower. Current RBI directions significantly restrict the applicability of specified NBFC and MFI on-lending provisions to RRBs themselves. The problem nevertheless directly concerns RRBs: as commercial banks externalise rural origination to intermediaries, RRBs are left as one of the few branch-based institutions capable of direct, accountable rural lending. Policy should reinforce that comparative public role rather than push RRBs towards the same originate-distribute model.

The long-term institutional answer is not to preserve a permanently fragmented rural banking structure. RRBs should ultimately be integrated with their sponsor banks under a statutory rural-banking architecture. A unified public bank can pool deposits across rural, semi-urban, urban and metropolitan markets and deploy a planned share of those resources in underserved rural districts. With ring-fenced rural branches, dedicated staff, decentralised credit authority and measurable development targets, integration can turn mainstream banking into an instrument for overcoming agrarian distress and unequal regional development.

Key Indicators at the Fifty Year Mark

Indicator	Position	Critical reading
Number of RRBs	28 after amalgamation from 43, effective 1 May 2025	Efficiency gains must be tested against loss of regional autonomy and local accountability.
Network	More than 22,000 branches in about 700 districts; around 92% rural or semi-	A major public asset whose value lies in physical and relational access, not merely

	urban	transaction volume.
Net profit	₹7,571 crore in 2023–24; ₹6,820 crore in 2024–25	Financial recovery is real, but profit is an instrument of sustainability rather than the statutory end.
Asset quality	GNPA 5.4% in March 2025, down from a 10.8% peak in March 2019	Improvement creates space for developmental lending; it should not justify risk-avoidance.
Capital	CRAR 14.4% in March 2025	Stronger capital can be maintained through public recapitalisation and retained earnings.
Priority sector	88.44% of ANBC in 2024–25 against a 75% target	The aggregate ratio needs borrower-class, purpose, region, ticket-size and direct-credit disclosure.
RRB credit-deposit ratio	73.1% in March 2025	Improved intermediation, yet deposits mobilised locally should be transparently linked to local credit needs.

Sources: Department of Financial Services and PIB releases; RBI Report on Trend and Progress of Banking in India 2024–25. Figures are the latest authoritative system-level data available for the periods stated.

1 Origins and Statutory Purpose

The first RRBs were established in 1975 and the Regional Rural Banks Act followed in 1976. The institutional design attempted to combine three strengths: the rural orientation of cooperatives, the professional and technological capacity of commercial banks, and the financial responsibility of the Union and State governments. The traditional ownership pattern—50 per cent Union Government, 15 per cent State Government and 35 per cent sponsor bank—made the RRB a joint public undertaking embedded in a defined region.

The Act's long title supplies the proper test of performance. RRBs were established with a view to developing the rural economy by providing credit and other facilities, particularly to small and

marginal farmers, agricultural labourers, artisans and small entrepreneurs, and for other connected matters. “Particularly” matters. It identifies not a residual market but the principal social constituency. “Developing the rural economy” also matters. Credit was meant to enlarge production, employment, capabilities and collective welfare—not merely to expand a loan book.

RRBs emerged from the post-nationalisation recognition that private profitability had produced geographical and class exclusion. Nationalisation opened branches and redirected credit, but a large gap persisted between a centralised commercial bank and the village economy. Rural households needed institutions able to understand crop cycles, common property, informal tenancies, small livestock, artisan production and seasonal cash flows. The RRB was therefore a political-economic intervention in the allocation of social savings.

The credit is not neutral. Whoever controls credit influences the pattern of production, ownership and accumulation. Cheap institutional finance can reduce dependence on moneylenders and traders; expensive or inaccessible finance reproduces unequal exchange and distress. Public rural banking is consequently part of agrarian policy, not merely financial-sector architecture.

2 The Journey from Expansion to Consolidation

The early decades were marked by rapid institutional spread. RRBs entered underbanked districts, mobilised small savings and financed crop production, dairy, fisheries, rural crafts and petty enterprise. They created employment for locally recruited staff and developed knowledge that could not be captured in a central credit score. Their presence also exerted competitive pressure on informal lenders and made government-directed credit programmes operational.

The model carried contradictions from the beginning. RRBs were expected to lend to borrowers with small surpluses and high exposure to weather, price and policy shocks while maintaining commercial viability. Interest rates, operating areas, wage structures and sponsor-bank dependence changed over time. Loan waivers without timely fiscal settlement, inadequate capital, weak infrastructure and externally imposed programmes often damaged balance sheets. These were not simply failures of borrower discipline; they reflected the transfer of agrarian and policy risk onto specialised rural banks.

From the 1990s, liberalisation shifted the policy vocabulary from social banking to prudential performance, competition and profitability. The response included recapitalisation, sponsor-bank alignment, technology upgrades and successive mergers. RRB numbers fell from 196 to 82 in the first amalgamation phase, then to 56, then 43, and finally 28 in 2025. The official case is scale efficiency and cost rationalisation. The public-policy test must be broader: whether mergers increased credit per excluded household, strengthened local appraisal, retained branches and staff, reduced turnaround time, and improved the terms on which productive credit reached vulnerable groups.

3 What Regional Rural Banks Achieved

3.1 Institutionalising rural savings and credit

RRBs helped convert rural savings into formal deposits and normalised banking relationships for households earlier treated as non-bankable. A large low-cost deposit base reflects public trust built over decades. This trust is a social asset created by branch Staff, local language service and the implicit guarantee of public ownership. It must not be appropriated for private gain.

3.2 Reaching weaker sections

Their mandated concentration on priority sectors has remained far above that of the banking system as a whole. RRBs have financed small and marginal farmers, tenant-linked group arrangements, agricultural labour households, rural artisans, micro enterprises and women's collectives. They have also supported Kisan Credit Cards and the bank linkage of self-help groups. Aggregate achievements are substantial even though regional inequalities, exclusion of oral lessees and inadequate term investment remain.

3.3 Delivering the developmental state

RRB branches function as infrastructure for pensions, wages, subsidies, insurance enrolment, financial literacy and direct benefit transfers. These activities impose real labour and technology costs that conventional profitability measures often ignore. The bank is expected simultaneously to authenticate citizens, correct administrative errors, manage cash, educate first-time users and provide credit. Its contribution is therefore partly fiscal and administrative, not only financial.

3.4 Demonstrating the viability of public rural banking

Recent profits, stronger capital and falling NPAs demonstrate that the model can be repaired without abandoning public ownership. The relevant lesson is not that RRBs are now ready for the market. It is that patient public capital, institutional support, recoveries, technology and accumulated staff expertise can restore a socially mandated institution.

4 Are RRBs Still in Tune with Their Statutory Purpose

The answer is qualified. By geography, client base and priority-sector share, RRBs remain closer to the Act than any universal commercial-bank category. Their network and rural deposit relationships cannot easily be replicated. By the deeper tests of directness, additionality, affordability, local participation and developmental impact, however, there are warning signs.

Statutory test	Evidence of continuity	Evidence of drift
Rural economic development	Dense rural and semi-urban network; farm and micro-enterprise lending	Performance can be reduced to balance-sheet growth without measuring employment, productivity or resilience.

Priority to weaker groups	PSL ratio substantially exceeds the regulatory floor	A high ratio can conceal larger tickets, better-off borrowers, purchased certificates or categories weakly connected to productive livelihoods.
Regional character	Operations remain territorially bounded and staff retain local knowledge	State-wide amalgamation enlarges distance between borrower, branch and sanctioning authority.
Affordable direct credit	Branches can appraise and service small borrowers directly	Automation, staff shortages and risk templates can push applicants towards agents, MFIs and informal debt.
Public accountability	Government and sponsor-bank ownership remains dominant	Market capital and commercial targets can shift practical control even without formal majority privatisation.

The proper conclusion is neither celebratory nor dismissive. RRBs have not exhausted their historical role; the need for that role has intensified. But statutory fidelity cannot be inferred from classification alone. Parliament, NABARD and RBI should require a public-purpose audit alongside the financial audit.

5 Commercial Bank Retreat and the Rise of Indirect Rural Finance

Commercial banks increasingly manage small-borrower credit through business correspondents, fintech interfaces, co-lending, securitisation, NBFCs and MFIs. These mechanisms may widen reach, but they also fragment responsibility. The bank supplies wholesale funds and receives regulatory recognition; an intermediary selects, prices and collects from the final borrower. The borrower may face higher effective costs, bundled products, coercive recovery or opaque grievance channels while the originating bank remains distant.

The RBI's 2025 priority-sector directions permit specified bank lending to eligible MFIs and NBFCs for on-lending, subject to caps and conditions. Importantly, several of these provisions are expressly inapplicable to RRBs, small finance banks, urban cooperative banks or local area banks, depending on the category. It would therefore be inaccurate to suggest that RRBs themselves currently enjoy all the

same on-lending routes. The structural concern lies at system level: commercial banks can meet parts of their rural obligation without building a durable direct relationship, while RRBs face pressure to mimic commercial-bank ratios and products.

Priority Sector Lending Certificates further separate compliance from origination. A market in certificates can reward an institution that originates eligible assets, but it also allows another institution to meet a target without making the loan or knowing the borrower. What was conceived as a social obligation risks becoming a tradable regulatory commodity. Certificates should remain supplementary and transparent, not a substitute for district-level direct lending.

Indirect finance is not automatically illegitimate. Federations, cooperatives and public development institutions can aggregate small needs efficiently. The decisive questions are ownership, interest transmission, risk sharing, transparency and borrower voice. When a profit-seeking intermediary earns a spread while the public bank carries funding or reputational risk, financial inclusion may become financial extraction.

6 The Capital Market Question and Alteration of Basic Character

The Regional Rural Banks Amendment Act 2015 enabled RRBs to raise capital from sources other than the Union Government, State Government and sponsor bank, subject to a statutory public-control requirement. The immediate argument was capital adequacy and flexibility. Yet capital is not merely money. Every source of capital brings a governance logic.

A listed RRB would be evaluated through return on equity, quarterly earnings, valuation multiples, dividend expectations and market perception. These metrics can influence management even where public shareholders retain formal control. Pressure would grow to expand high-yield retail products, fee income and urban or semi-urban business; reduce staff-intensive small loans; centralise sanction; close low-volume branches; and treat developmental obligations as costs requiring compensation.

There is also a distributional issue. Decades of public capital, concessional institutional support, rural deposits, staff labour and public confidence created the franchise. Offering equity to private investors allows claims on future earnings generated by this accumulated social asset. Any capital need should first be met through retained profits and proportionate public recapitalisation. If additional instruments are required, non-voting public or quasi-public instruments can be designed without transferring governance rights or creating a route to creeping privatisation.

The defence that government and sponsor-bank ownership must remain at least 51 per cent is insufficient. Public character includes mandate, accountability, lending behaviour, employment practices and immunity from short-term shareholder pressure. A formally public bank can be operationally financialised.

7 From Administrative Consolidation to Integration with Mainstream Public Banking

The “One State One RRB” policy offers common technology, a larger capital base, standardised products and reduced duplication. These are genuine potential gains. But scale has no automatic social content. A state-wide balance sheet can diversify risk while simultaneously making the institution less regional in knowledge and authority.

Credit decisions migrate upward when controlling offices cover larger territories. Standard models favour documented salaries, titled land and predictable cash flows. Tenant farmers, women cultivators, forest-dependent communities, pastoralists and artisans often lack such documentation. Their creditworthiness is relational and local. Removing discretion from a well-staffed local branch can reproduce exclusion through an apparently objective algorithm.

The limitations of successive RRB-to-RRB amalgamations point towards a more fundamental solution: merger with sponsor banks and integration of the rural credit structure with mainstream banking. A stand-alone RRB mobilises mainly rural and semi-urban deposits and operates within a restricted geographical and financial base. Its capacity to expand long-term investment credit is therefore constrained precisely where agrarian distress and regional backwardness demand large and patient resources. A sponsor bank, by contrast, mobilises substantial deposits from urban and metropolitan centres. Integration can allow these social savings to flow across geography instead of compelling a rural institution to finance rural transformation largely from the resources of rural people themselves.

This merger should not mean absorption followed by closure of rural branches or conversion of farm-credit offices into retail-sales outlets. It should create a legally protected rural banking division within each sponsor bank, carrying forward the RRB mandate, employees, branch network and local expertise. District and block-level credit planning, decentralised sanctioning, State Government participation and worker and borrower representation must be retained. A binding rural-credit floor should require the merged bank to deploy a defined share of its total deposits, including those collected in urban and metropolitan centres, in direct productive credit and public-purpose rural investment.

Properly designed, integration can connect agricultural credit with irrigation, storage, processing, cooperatives, rural industries, health, education, housing and local infrastructure. It can help create stable employment outside agriculture, raise rural purchasing power and reduce distress migration. The objective is not to prevent mobility, but to end migration compelled by debt, unemployment and the absence of basic services.

This has an urban dimension as well. Uncontrolled distress migration intensifies pressure on housing, transport, water, sanitation, health services and precarious employment in large cities. Metropolitan centres increasingly carry the social cost of regionally unequal development. Planned redeployment of urban financial surpluses for rural development can moderate this pressure and, over time, make voluntary reverse migration possible by creating dignified livelihoods and adequate civic and social infrastructure in rural areas.

The merger case is therefore not an argument for centralisation for its own sake. It is an argument for national pooling of financial resources combined with democratic decentralisation of their use. Mainstream capital strength must be joined to local credit knowledge. Without statutory safeguards, merger could simply erase the RRB identity; with them, it can universalise the RRB mission across the entire public banking system.

8 The Central Challenges Before RRBs

- Mission dilution: profitability, cross-selling and business-per-employee targets can displace the statutory priority given to weaker rural sections.
- Staff shortage and work intensification: direct small credit requires field visits, appraisal, monitoring and recovery support. Digital interfaces cannot substitute for adequate regular staff.
- Agrarian distress: volatile prices, rising input costs, climate events and inadequate public procurement turn production risk into loan delinquency.
- Unequal regional development: deposit-rich areas may still suffer low local credit deployment, while poorer districts need patient capital and state-supported risk sharing.
- Digital exclusion and fraud: authentication failure, low connectivity, cybercrime and dependence on agents can exclude elderly, tribal, migrant and low-literacy customers.
- Sponsor-bank dominance: technology, product and personnel decisions may be copied from commercial banks without regard to the RRB mandate.
- Governance deficit: rural borrowers, elected local bodies, workers and civil society have little effective participation in strategic decisions.
- Fragmentation of resources: stand-alone RRB balance sheets cannot fully access the urban and metropolitan deposit surplus needed for large-scale rural reconstruction.
- Pressure towards market capital: listing can create a ratchet towards commercialisation and eventual dilution of public accountability.
- Intermediated finance: the growth of NBFC and MFI channels can make direct public banking appear costly even where it is socially more efficient.
- Climate transition: RRBs need capacity to finance water conservation, resilient seeds, renewable energy, storage and diversified livelihoods without shifting climate risk solely to borrowers.

9 A Public Policy Programme for the Next Twenty Five Years

9.1 Integrate RRBs with sponsor banks under a statutory rural mandate

Parliament should provide for the merger of RRBs with their sponsor banks as part of an integrated public rural-credit system. Where necessary, sponsorship should first be aligned with a public sector

bank so that integration does not become privatisation. The law must preserve the developmental purpose of the RRB Act through a ring-fenced rural banking division, protection of all employees and service conditions, continuation and expansion of the branch network, and binding direct-credit obligations towards the statutory beneficiary groups.

The merged bank should prepare an annual resource-transfer statement showing deposits mobilised in rural, semi-urban, urban and metropolitan centres and their district-wise deployment. A prescribed share of the total national deposit base should flow to agriculture, allied activities, cooperatives, rural MSMEs, housing and social and physical infrastructure in credit-deficient districts. This would convert the concept of cross-subsidisation into a transparent obligation of public banking.

9.2 Establish a direct credit floor

Within the priority-sector target, RBI should prescribe and disclose a minimum share of direct loans to small and marginal farmers, tenant cultivators, agricultural labour households, artisans, women's collectives and micro enterprises. Purchased certificates, co-lending exposures and wholesale on-lending should be reported separately and should not displace direct branch-based credit.

9.3 Measure developmental additionality

RRB performance agreements should include new-to-bank borrowers, reduction in informal debt, investment credit, employment supported, women's control over accounts, tenant-farmer access, climate resilience and district credit-deposit gaps. Profit and NPA ratios should remain prudential indicators, not the whole scorecard.

9.4 Rebuild local capacity

Recruit regular clerical, officer and subordinate staff against workload norms. Restore field appraisal and extension-linked banking. Give branches defined sanctioning powers and specialised support for agriculture and rural enterprise. Business correspondents should complement branches, receive fair remuneration and social security, and never become substitutes for regular employment or instruments for forced sales and recovery.

9.5 Socialise agrarian risk

Credit cannot repair an agrarian crisis produced by unremunerative prices, crop loss or inadequate public investment. Timely and transparent interest subvention, universal and accountable crop insurance, public procurement, disaster compensation and fiscal reimbursement of mandated waivers are necessary to protect both borrower and bank. Wilful diversion and large fraud require firm recovery; genuine production failure requires restructuring and relief.

9.6 Democratising governance

Boards and the proposed rural banking divisions should include persons with proven experience in agriculture, cooperatives, rural labour, women's collectives and small enterprise, alongside employee

representation. District-level public hearings and credit plans should be mandatory. Data should be released in open formats by geography of deposit mobilisation and credit deployment, and by gender, social group, borrower class, loan purpose, ticket size, rejection and turnaround time, subject to privacy safeguards.

9.7 Technology as public infrastructure

Shared platforms can reduce cost, but core data and decision systems should remain under public control, be auditable and support local languages. No credit application should be rejected solely by an automated model. Assisted and offline channels, human review, cybersecurity compensation and time-bound grievance redress must be guaranteed.

9.8 Cooperation within the rural credit structure

RRBs, cooperatives, NABARD and public commercial banks should be planned as complementary institutions. Refinance and risk-sharing should favour primary producers, cooperatives, farmer producer organisations and publicly accountable aggregators. Competition that merely shifts the best customers upward and leaves distressed borrowers to specialised institutions should be discouraged.

10 Proposed Fifty Year Public Mandate

Commitment	Operational requirement
Public integration	Merge RRBs with sponsor public banks through a protected rural banking division and prohibit privatisation or dilution of the mandate.
Resource transfer	Publish and enforce the redeployment of a defined share of urban and metropolitan deposits into credit-deficient rural districts.
Directness	At least a defined, disclosed share of lending to statutory beneficiary groups must be originated and serviced directly.
Locality	District credit plans, decentralised sanction powers and no rural branch closure without public consultation and replacement access.
Affordability	Transparent all-in pricing; no compulsory bundling; strengthened relief and restructuring for genuine distress.
Employment	Adequate regular recruitment, continuous

	rural-credit training and fair service conditions.
Accountability	Annual public-purpose audit placed before Parliament and State legislatures, alongside financial accounts.
Technology	Publicly controlled, inclusive, multilingual and auditable systems with a guaranteed human channel.
Climate justice	Affordable transition and adaptation finance with public risk sharing rather than borrower-only liability.

Conclusion

Regional Rural Banks are among the durable institutional gains of the era of social banking. They carried the banking system beyond the metropolitan balance sheet and recognised the rural poor as producers, savers and citizens. Their history also exposes the unfairness of demanding commercial returns from institutions asked to bear the costs of agrarian distress, public programmes and last-mile service.

Fifty years on, the choice is not between nostalgia and modernisation. RRBs need capital, technology, professional risk management and scale. But each must be subordinated to the statutory objective of rural development and priority to weaker sections. Profitability should sustain that purpose, not replace it.

At a time when commercial banks can distance themselves from the final rural borrower through intermediaries and market instruments, rural credit must be brought into the centre of mainstream public banking. Merger of RRBs with sponsor public banks can provide the institutional mechanism: national pooling of deposits and capital, combined with local appraisal, decentralised planning and statutory direct-lending duties. The accumulated savings of urban and metropolitan India must help finance agricultural renewal, rural industry, employment and civic infrastructure rather than circulate mainly within already developed markets.

Such integration can contribute to resolving agrarian distress and reducing migration driven by unemployment, debt and inadequate services. It can also relieve the mounting pressure on housing, transport, water, sanitation and employment in cities. With balanced regional development, movement between rural and urban India can become a matter of choice; over time, improved rural livelihoods may even support reverse migration.

The progressive response is therefore to integrate without privatising, pool resources without centralising every decision, modernise without marketising, and digitise without excluding. The next fifty years should begin with an unambiguous principle: rural credit is a public good, urban financial surpluses carry a social obligation towards rural development, and the entire public banking system must be made accountable for fulfilling it.

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Interpretive note: This paper distinguishes reported regulatory compliance from substantive fulfilment of the development mandate. It uses official aggregates for financial indicators and applies a political-economy analysis to ownership, intermediation, labour, governance and the distribution of credit. References to marketisation and financialisation are analytical conclusions; they do not imply that a specific RRB public issue had occurred by the date of this paper.

Regional Rular Banks at Glance

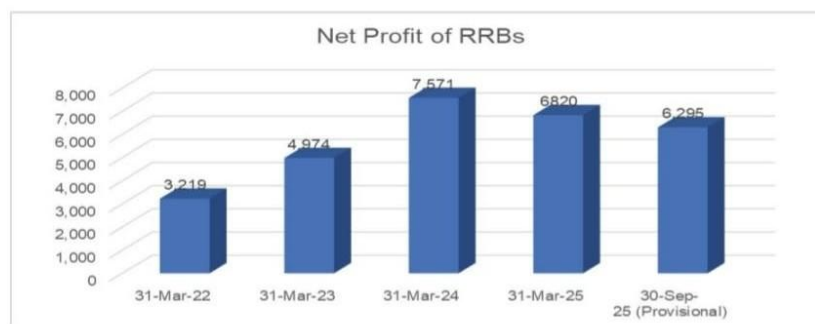
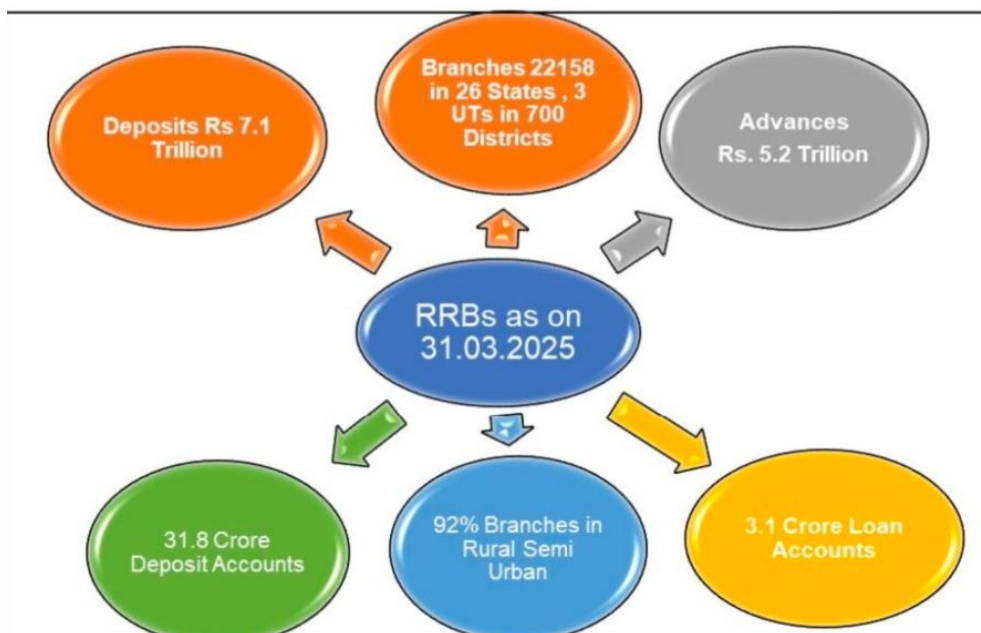
(Amount in ₹ Crore)

No. Sr.	Key Financial Parameters	FY 2023-24	FY 2024-25	FY 2025-26
1.	Total Deposits (In Rs. Crore)	6,59,815	7,13,800	7,68,621
2.	Loans Outstanding (In Rs. Crore)	4,71,384	5,24,163	5,78,349
3.	Credit-Deposit Ratio (CD ratio) (%)	71.4	73.4	75.2
4.	Gross Non-Performing Asset (GNPA) (%)	6.1	5.4	5.3
5.	Net Non-Performing Asset (NNPA) (%)	2.4	2.0	2.1
6.	Net Profit (In Rs. Crore)	7,571	6,820	10,177
7.	Net Worth (In Rs. Crore)	56,780	63,927	74,086
8.	Capital to Risk Weighted Assets Ratio (CRAR) (%)	14.2	14.4	15.0

Regional Rular Banks at Glance

(Amount in ₹ crore)

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	31-Mar-25	30-Sep-25 (Provisional)
No. of RRBs (No.)	43	43	43	43	28
Branch Network (No.)	21,892	21,995	22,069	22,158	22,179
Share Capital	14,880	17,232	19,042	19,303	19,303
Reserves	34,359	40,123	46,659	53,060	57,962
Deposits	5,62,538	6,08,509	6,59,815	7,13,800	7,20,000
Borrowings	73,881	84,712	92,444	92,268	81,155
Investments	2,95,665	3,13,401	3,19,099	3,21,213	3,00,281
Gross Loans & Advances O/s	3,62,838	4,10,738	4,70,109	5,21,913	5,50,509
No. of RRBs earning Profit	34	37	40	38	25
Amount of Profit (A)	4,116	6,178	7,796	8,018	6,546
No. of RRBs incurring Losses	9	6	3	5	3
Amount of Losses (B)	897	1,205	225	1,193	251
Net Profit of RRBs (A – B)	3,219	4,974	7,571	6,820	6,295
GNPA (Amount)	33,190	29,894	28,913	28,169	31,782
GNPA (%)	9.1	7.3	6.1	5.4	5.7



RURAL CREDIT IS A PUBLIC GOOD

Integration of Regional Rural Banks with sponsor public sector banks can combine local knowledge with the capital strength of mainstream banking. It can redeploy resources mobilised in urban and metropolitan centres towards agriculture, rural Industry, employment and infrastructure—helping overcome agrarian distress, reduce forced migration and promote balanced regional development.



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